

at B, but it'll do. This is a better interpretation of a viable chart pattern compared to the left side. Do *not* cut off a turn like I've shown on the left side and call it a broadening bottom.

Volume. There is nothing magical or important about volume. I used linear regression from the start of the chart pattern to its end and found that volume trends upward most of the time in this chart pattern.

Breakout direction. The breakout price can be difficult to identify in a broadening chart pattern as the pattern develops. I look for the place where price pierces the up or down trendline or makes an extended move, hugging the trendline.

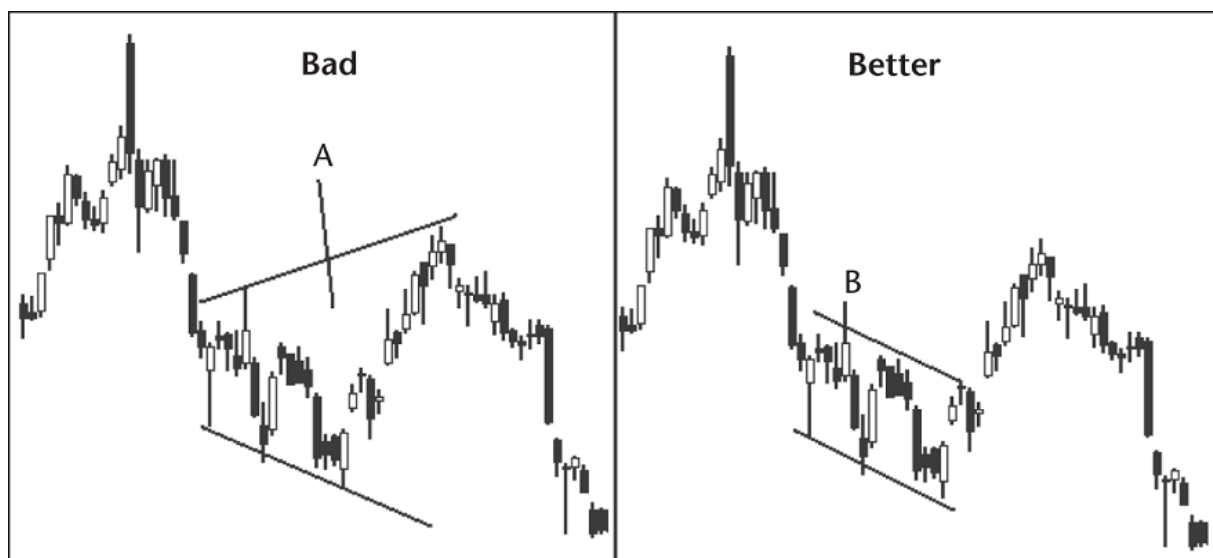


Figure 8.2 Don't accept patterns with too much whitespace. This happens when you cut off a turn and call it a broadening bottom.

If price *closes* outside a trendline boundary, then the penetration point becomes the breakout price. If price moves up (for example) and follows along the top trendline without piercing it, then I backtrack to the prior minor high and draw a horizontal line forward in time until price closes above the horizontal line. When that happens, that is the breakout point (providing the pattern obeys the other identification guidelines first). Use the same logic for a downward breakout.

Let me give you an example. Consider the broadening bottom shown in [Figure 8.3](#). Where's the breakout from the broadening bottom?